



PAPER – 1: ACCOUNTING



QUESTIONS

True and False

1. State with reasons, whether the following statements are true or false:
 - (a) Accounting Standards for non-corporate entities in India are issued by the Central Government.
 - (b) Cash book is a subsidiary book as well as a principal book.
 - (c) Debit balance as Cash Book is same as overdraft as per passbook.
 - (d) Warehouse rent paid for storage of finished inventory should be included in the cost of finished inventory.
 - (e) Reducing balance method of depreciation is followed to have a uniform charge for depreciation and repairs and maintenance together.
 - (f) A Promissory note can be made payable to bearer.
 - (g) Provision for Bad Debts is debited to Sundry Debtors A/c
 - (h) Goodwill is intangible asset therefore it cannot be valued.
 - (i) Outstanding salaries for the previous year shall be shown as liability in the current year balance sheet.
 - (j) A person holding preference shares of a company cannot hold equity shares of the same company.
 - (k) A Company is not allowed to issue shares at a discount to the public in general.

Theoretical Framework

2. (a) Under what circumstances can an enterprise change its accounting policy?
- (b) Explain Cash and Mercantile system of accounting.

Journal Entries

3. (a) Prepare Journal Entries for the following transactions in the books of Harpreet
 - (i) Customer's cheque for ₹ 4,000 returned dishonoured for insufficient funds in his accounts. The customer had availed a cash discount of ₹ 400.
 - (ii) Income tax liability of proprietor ₹ 8,500 was paid out of petty cash.
 - (iii) Defective goods worth ₹ 5,000 are sold for 3,000.
 - (iv) Purchase of goods from Sunny of the list price of ₹ 20,000. He allowed 5% trade discount, ₹ 200 cash discount was also allowed for quick payment.
 - (v) Purchased goods from Sarah industries for ₹ 50,000 plus CGST and SGST@6% each.
 - (vi) Goods given as charity costing ₹ 1,600, sale price ₹ 2,000. CGST and SGST @ 6% each was paid at the time of purchase of such goods

Capital or Revenue Receipt or Expenditure

- (b) Classify the following transactions either as capital or revenue expenditures or as capital or revenue receipts;
 - (i) Dividend received from XYZ limited during the year.
 - (ii) Amount spent for replacement of a petrol driven engine by CNG kits.
 - (iii) Expenses incurred on the repairs and white washing for the first time on purchase of an old factory.
 - (iv) Overhauling expenses of second-hand machine purchased.

- (v) Insurance claim received on account of inventory damaged by fire.
- (vi) Entrance fees of ₹35,000 received by society club.

Trial Balance

4. (a) From the following information, draw up a Trial Balance in the books of Shri Mohan Das as on 31st March, 2024:

Particulars	Amount (₹)	Particulars	Amount (₹)
Capital	9,80,000	Purchases	2,52,000
Discount Allowed	8,400	Carriage Inward	60,900
Carriage Outwards	16,100	Sales	4,20,000
Return Inward	2,100	Return Outwards	4,900
Rent and Taxes	8,400	Plant and Machinery	5,64,900
Stock on 1 st April 2023	1,08,500	Sundry Debtors	1,41,400
Sundry Creditors	84,000	Investments	25,200
Commission Received	12,600	Cash in Hand	700
Cash at bank	70,700	Motor Cycle	2,42,200
Stock on 31 st March, 2024	1,43,500		

Rectification of Errors

- (b) Mr. Mathur's trial balance as on 31st March, 2024 did not agree. The difference was put to a Suspense Account. During the next trading period, the following errors were discovered:
- (i) The total of the Purchases Book of one page, ₹ 7,165 was carried forward to the next page as ₹ 7,615.
 - (ii) A sale of ₹ 281 was entered in the Sales Book as ₹ 821 and posted to the credit of the customer.

- (iii) A return to creditor, ₹ 1,595 was entered in the Returns Inward Book; however, the creditor's account was correctly posted.
- (iv) A cheque of ₹ 500 issued to a suppliers A/c (shown under trade payables) towards his dues has been wrongly debited to purchases.
- (v) Goods worth ₹ 1,400 were dispatched to a customer before the close of the year but no invoice was made out.
- (vi) Goods worth ₹ 1,600 were sent on sale or return basis to a customer and entered in the Sales Book at the close of the year, the customer still had the option to return the goods. The gross profit margin was 20% on sale.
- (viii) Sale of goods to Mr. R for ₹ 3,000 was omitted to be recorded.

You are required to give journal entries to rectify the errors in a way so as to show the current year's profit or loss correctly.

Bank Reconciliation Statement

5. From the following information (as on 31.3.2024), prepare a bank reconciliation statement after making necessary adjustments in the cash book:

Particulars	
Bank balances as per the cash book (Dr.)	16,25,000
Cheques deposited, but not yet credited	22,37,500
Cheques issued but not yet presented for payment	17,81,000
Bank charges debited by bank but not recorded in the cash-book	6,250
Dividend directly collected by the bank	62,500
Insurance premium paid by bank as per standing instruction not intimated	7,950
Cash sales wrongly recorded in the Bank column of the cash-book	1,27,500

Customer's cheque dishonoured by bank not recorded in the cash-book	65,000
Wrong credit given by the bank	75,000

Also show the bank balance that will appear in the trial balance as on 31.3.2024.

Valuation of Inventories

6. Closing stock is valued by Zebra Stores on generally accepted accounting principles. Stock taking for the year ended 31st March, 2024 was completed by 10th April, 2024, the valuation of which showed a stock figure of ₹ 5,02,500 at cost as on the completion date. After the end of the accounting year and till the date of completion of stock taking, sales for the next year were made for ₹ 20,625, profit margin being 33.33 percent on cost. Purchases for the next year included in the stock amounted to ₹ 27,000 at cost less trade discount 10 percent. During this period, goods were added to stock of the mark up price of ₹ 900 in respect of sales returns. After stock taking it was found that there were certain very old slow moving items costing ₹ 3,375 which should be taken at ₹ 1,575 to ensure disposal to an interested customer. Due to heavy floods, certain goods costing ₹ 4,650 were received from the supplier beyond the delivery date of customer. As a result, the customer refused to take delivery and net realizable value of the goods was estimated to be ₹ 3,750 on 31st March, 2024.

You are required to calculate the value of stock for inclusion in the final accounts for the year ended 31st March, 2024.

Depreciation and Amortisation

7. The Machinery Account of a Factory showed a balance of ₹ 95 Lakhs on 1st April, 2023. The Books of Accounts of the Factory are closed on 31st March every year and depreciation @ 10% per annum is charged under the Diminishing Balance Method. On 1st September, 2023 a new machine was acquired at a cost of ₹ 14 Lakhs and ₹ 44,600 was incurred on the same day as installation charges for erecting the machine. On 1st September, 2023 a machine which had cost ₹ 21,87,000 on 1st April, 2021 was sold for ₹ 3,75,000. Another machine which had cost

₹ 21,85,000 on 1st April, 2022 was scrapped on 1st September, 2023 and it realized nothing.

Prepare Machinery Account for the year ended 31st March, 2024. Allow the same rate of depreciation as in the past and calculate depreciation to the nearest multiple of a rupee. Also show all the necessary working notes.

Bills of Exchange

8. On October, 2024, Samar sells goods to Amar for ₹ 25,000 plus IGST @ 18% and draws two bills of exchange on him; the first bill for ₹ 15,000 for 2 months and second bill for the balance for 3 months. Amar accepts and returns these bills to Samar. Both the bills are sent to the bank for collection on 1st October, 2024. In due course, Samar receives the information from the bank on the due date of the respective bill that the bill for ₹ 15,000 has been duly met and the other bill has been dishonored. Noting charges paid on the dishonor of second bill are ₹ 500. Pass the journal entries in the books of Samar along with narration.

Final accounts

9. Charu decided to start business of fashion garments under the name of M/s. Bella Wear on 1st April, 2023. She had a saving of about ₹ 10,00,000. She invested ₹ 3,00,000 out of her savings and borrowed equal amount from bank. She purchased a commercial space for ₹ 5,00,000 and further spent ₹ 1,00,000 on its renovation to make it ready for business.

Loan and interest repaid by her in the first year are as follows:

30th June, 2023	-	₹ 15,000 principal + ₹ 9,000 interest
30th September, 2023	-	₹ 15,000 principal + ₹ 8,550 interest
31st December, 2023	-	₹ 15,000 principal + ₹ 8,100 interest
31st March, 2024	-	₹ 15,000 principal + ₹ 7,650 interest.

In view of further capital requirement, she transferred ₹ 2,00,000 from her saving bank account to the bank account of the business. She paid security deposit of ₹ 7,000 for telephone connection. Furniture of

₹ 10,000 was purchased, All payments were made by cheque and all receipts in cash were deposited in the bank.

At the end of the year, her business showed the following results:

Particulars	Amount	Particulars	Amount
Total Sales	20,00,000	Total Purchases	17,00,000
Electricity Expenses paid	40,000	Telephone Charges	50,000
Cartage Outwards	60,000	Travelling Expenses	45,000
Entertainment Expenses	5,000	Maintenance Expenses	25,000
Misc. Expenses	15,000	Electricity Expenses Payable	20,000

Other Information:

- (i) She withdrew ₹ 5,000 by cheque each month for her personal expenses.
- (ii) Depreciation on building @ 5% p.a. and oil furniture @ 10% p.a.
- (iii) Closing stock in hand as on 31st March, 2024: ₹ 5,50,000

Prepare trading account, profit and loss account for the year ended 31st March, 2024 and Balance Sheet as on that date.

Financial Statements of Not for Profit Organizations

10. From the following Receipts and Payments Account of Finance Professionals Club.

Receipts and Payments Account for the year ended 31st March, 2024

Receipts	₹	Payments	₹
To Cash in Hand (Opening)	67,500	By Salaries	7,42,500
To cash at Bank (Opening)	18,90,000	By Stationery	1,34,550
To Subscriptions	22,86,000	By Billard Table	8,70,750

To Donations	10,80,000	By Investments	9,29,700
To Interest on Investments	27,000	By Miscellaneous Expenses	1,12,500
To Entrance Fees	2,70,000	By Furniture	18,45,000
To Interest Received from Bank	94,500	By Insurance Premium	40,500
To Sale of Old Newspapers	13,500	By Cash in Hand (Closing)	49,500
		By Cash at Bank (Closing)	10,03,500
	57,28,500		57,28,500

- (i) Subscriptions in arrears for the year ended 31st March, 2024- ₹2,02,500 and Subscriptions received in advance during the year ended 31st March, 2024 - ₹58,500.
- (ii) Insurance Premium prepaid is ₹ 4,500.
- (iii) The detail with respect to Stationery of Accountants Club is as follows:

	1st April, 2023 (₹)	31st March, 2024 (₹)
Stock of Stationery	7,500	45,000
Creditors for Stationery	39,000	60,000
Advance paid for Stationery purchased during the year	---	10,500

Prepare the Income and Expenditure Account for the year ended 31st March, 2024. As per the club rules, donations are to be capitalized and entrance fees is the income of club.

Accounts from Incomplete records

11. Saraswati Enterprises maintain their books of accounts under single entry system. The Balance Sheet as on 31st March, 2024 was as follows:

Liabilities	₹	Assets	₹
Capital A/c	67,500	Furniture & fixtures	15,000
Trade creditors	75,750	Stock	91,500
Outstanding expenses	6,750	Trade debtors	31,200
		Prepaid insurance	300
		Cash in hand & at bank	12,000
	1,50,000		1,50,000

The following was the summary of cash and bank book for the year ended 31st March, 2025:

Receipts	₹	Payments	₹
To Cash in hand & at Bank on 1st April, 2024	12,000	By payment to trade creditors	12,48,300
To Cash sales	11,07,000	By Sundry expenses	93,105
To amount paid to debtors	2,77,500	By Drawings	36,000
		By Cash in hand & at Bank on 31st March, 2025	19,095
	13,96,500		13,96,500

Additional Information:

- Discount allowed to trade debtors and received from trade creditors amounted to ₹5,400 and ₹4,250 respectively, (for the year ended 31st March, 2025)
- Annual fire insurance premium of ₹900 was paid every year on 1st August for the renewal of the policy. These expenses are included in sundry expenses.
- Furniture & fixtures were subject to depreciation @ 15% p.a. or diminishing balance method.

4. The following are the balances as on 31st March, 2025:
- | | |
|----------------------|---------|
| Stock | ₹97,500 |
| Trade debtors | ₹34,300 |
| Outstanding expenses | ₹5,520 |
5. Gross profit ratio of 10% on sales is maintained throughout the year.
- You are required to prepare Trading and Profit & Loss account for the year ended 31st March, 2025, and Balance Sheet as on that date.

Partnership Accounts

12. Seema, Yedhant and Zoya are in partnership, sharing profits and losses equally. Zoya died on 30th June 2024. The Balance Sheet of Firm as at 31st March 2024 stood as

Liabilities	Amount	Assets	Amount
Creditors	20,000	Land and Building	1,50,000
General Reserve	12,000	Investments	65,000
Capital Accounts:		Stock in trade	15,000
Seema	1,00,000	Trade receivables	35,000
Yedhant	75,000	Less: Provision for doubtful debt (2,000)	33,000
Zoya	75,000	Cash in hand	7,000
		Cash at bank	12,000
	2,82,000		2,82,000

In order to arrive at the balance due to Zoya, it was mutually agreed that:

- Land and Building be valued at ₹ 1,75,000
- Debtors were all good, no provision is required
- Stock is valued at ₹ 13,500

- (iv) Goodwill will be valued at one Year's purchase of the average profit of the past five years. Zoya's share of goodwill be adjusted in the account of Seema and Yedhant.
- (v) Zoya's share of profit from 1st April 2024, to the date of death be calculated on the basis of average profit of preceding three years.
- (vi) The profit of the preceding five years ended 1st March were:

2024	2023	2022	2021	2020
25,000	20,000	22,500	35,000	28,750

You are required to prepare:

- (1) Revaluation account
 - (2) Capital accounts of the partners and
 - (3) Balance sheet of the Firm as at 1st July 2024.
13. Agarwal, Samuel and Khan are partners in a firm. On 1st April 2022 their fixed capital stood at ₹ 2,50,000, ₹ 1,25,000 and ₹ 1,25,000 respectively.

As per the provision of partnership deed:

- (1) Khan was entitled for a salary of 25,000 p.a.
- (2) All the partners were entitled to interest on capital at 5% p.a.
- (3) Profits and losses were to be shared in the ratio of Capitals of the partners.

Net Profit for the year ended 31st March, 2023 of ₹ 1,65,000 and 31st March, 2024 of ₹ 2,25,000 was divided equally without providing for the above adjustments.

You are required to pass an adjustment journal entry to rectify the above errors.

Dissolution of Partnership

14. Aman, Yaman and Zaman who were sharing profits in the ratio of 3: 2:1 decided to dissolve the firm on 31st March, 2024 when their Balance Sheet was as follows:

Liabilities	₹	Assets	₹
Capital A/cs:		Building	1,50,000
Aman 1,80,000		Machinery	90,000
Yaman 1,35,000		Tools	12,000
Zaman <u>90,000</u>	4,05,000	Car	18,000
Creditors	51,000	Debtors	93,000
		Stock	55,500
		Bank	37,500
	4,56,000		4,56,000

Following transactions took place at the time of dissolution:

Assets realized are : ₹

Tools 7,500

Machinery 1,23,000

Building 1,26,000

Car 37,500

Goodwill 90,000

Debtors 88,500

- Creditors accepted stock in settlement of their dues.
- There was an unrecorded asset valued at ₹ 4,500 which was taken by Aman for ₹3,000.
- There was an old furniture which had been written off from the books. Yaman agreed to take it at ₹ 12,000.
- Firm had to pay ₹ 12,000 for outstanding salary which not provided earlier.

Prepare Realisation Account, Partners' Capital Accounts and Bank Account.

Issue and Forfeiture of Shares

15. Ambiance Limited invited applications for issuing 2,25,000 equity shares of ₹ 10 each at a premium of ₹ 5 per share. The total amount was payable as follows:

- ₹ 9 per share (including premium) on application and allotment
- Balance on the First and Final Call

Applications for 9,00,000 equity shares were received. Applications for 6,00,000 equity shares were rejected and money refunded. Shares were allotted on pro-rata basis to the remaining applicants. The first and final call was made. The amount was duly received except on 4,500 shares applied by Mr. Kabir. His shares were forfeited. The forfeited shares were re-issued at a discount of ₹ 4/- per share.

Pass necessary journal entries for the above transactions in the books of Ambiance Limited.

Debentures

16. Strawberry farms Ltd. issued 20,000 11% debentures of ₹ 100 each at a discount of 5%, payable ₹ 50 on application and ₹ 45 on allotment redeemable after 3 years.

- (i) at a premium of 2%
- (ii) at a discount of 2%

Pass necessary journal entries for issue of debentures.

Redemption of Preference Shares

17. The extract of Balance Sheet of Hari Om Ltd. as on 31st March 2024 is as follows

Sr. No.	Particulars	Notes	₹	₹
I]	<u>EQUITY AND LIABILITIES</u>			
(1)	Shareholders' funds			
a)	Share Capital	1		350,000

b)	Reserve & Surplus	2	64,000
II]	<u>ASSETS</u>		
(1)	Non-current assets		
a)	PPE & Intangible Assets		
i)	PPE		2,25,000
b)	Non-Current Investments		60,000

Notes to accounts:

Sr. No.	Particulars	₹
1.	Share capital	
	Authorized Share Capital	
	40,000 Equity shares of ₹ 10 each fully paid up	4,00,000
	1,000 8% Preference shares of ₹ 100 each fully paid up	<u>1,00,000</u>
		<u>5,00,000</u>
	Issued, Subscribed Called Up and Paid up Share Capital	
	1000, 8% Preference shares of ₹ 100 each fully paid up	1,00,000
	25,000 Equity shares of ₹ 10 each fully paid up	<u>2,50,000</u>
	Total	<u>3,50,000</u>
2.	Reserve and Surplus	
	Securities Premium Reserves	9,000
	Profit and Loss Account	<u>55,000</u>
	Total	64,000

In order to redeem its preference shares, the company issued 5,000 equity shares of ₹10 each at a premium of 10% and sold its investment of ₹ 70,800. Preference shares were redeemed at a premium of 10%.

Show the necessary journal entries in the books of the company.

18. Write short notes on the following:
- (i) Double entry system.
 - (ii) Importance of bank reconciliation to an industrial unit.
 - (iii) Bill of exchange and the various parties to it.
 - (iv) Features of Single Entry System.
 - (v) Advantages and Disadvantages of Right Issue.